

Managed Care Sector -- Regulatory Headwinds Overblown, UNH Best Positioned

UNH | UnitedHealth Group | Healthcare

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Type: Sector Update

Rating: Overweight (Maintain)

Conviction: High

Price Target: \$620

The managed care sector has sold off 12% from December highs on fears around potential Medicare Advantage rate cuts and pharmacy benefit manager (PBM) reform legislation. We believe the selloff is overdone and creates an attractive entry point, particularly for UnitedHealth Group.

Regulatory Assessment:

CMS preliminary Medicare Advantage rates for 2027 suggest a 2.5% blended rate increase, below the 3.5% medical cost trend. While this creates margin pressure, UNH's scale advantages in risk adjustment and care management provide a significant buffer versus smaller peers. PBM reform proposals remain fragmented in Congress with low probability of passage in 2026.

Optum Health continues to outperform. Value-based care arrangements now cover 4.2 million patients, and per-member-per-month economics are improving as the provider network matures. Optum Rx is gaining pharmacy clients following the CVS/Aetna integration disruptions.

UNH trades at 18.2x forward earnings, a modest discount to its 5-year average of 19.5x. Given the company's diversified revenue streams and best-in-class execution, we see this as an attractive valuation.

Our quant model ranks UNH #8 overall, with particularly strong quality (+2.1) and low volatility (+1.5) scores. Momentum has turned positive after the recent recovery.

Maintaining Overweight with High conviction. This remains a core holding recommendation for the Alpha US Equity Strategy.

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